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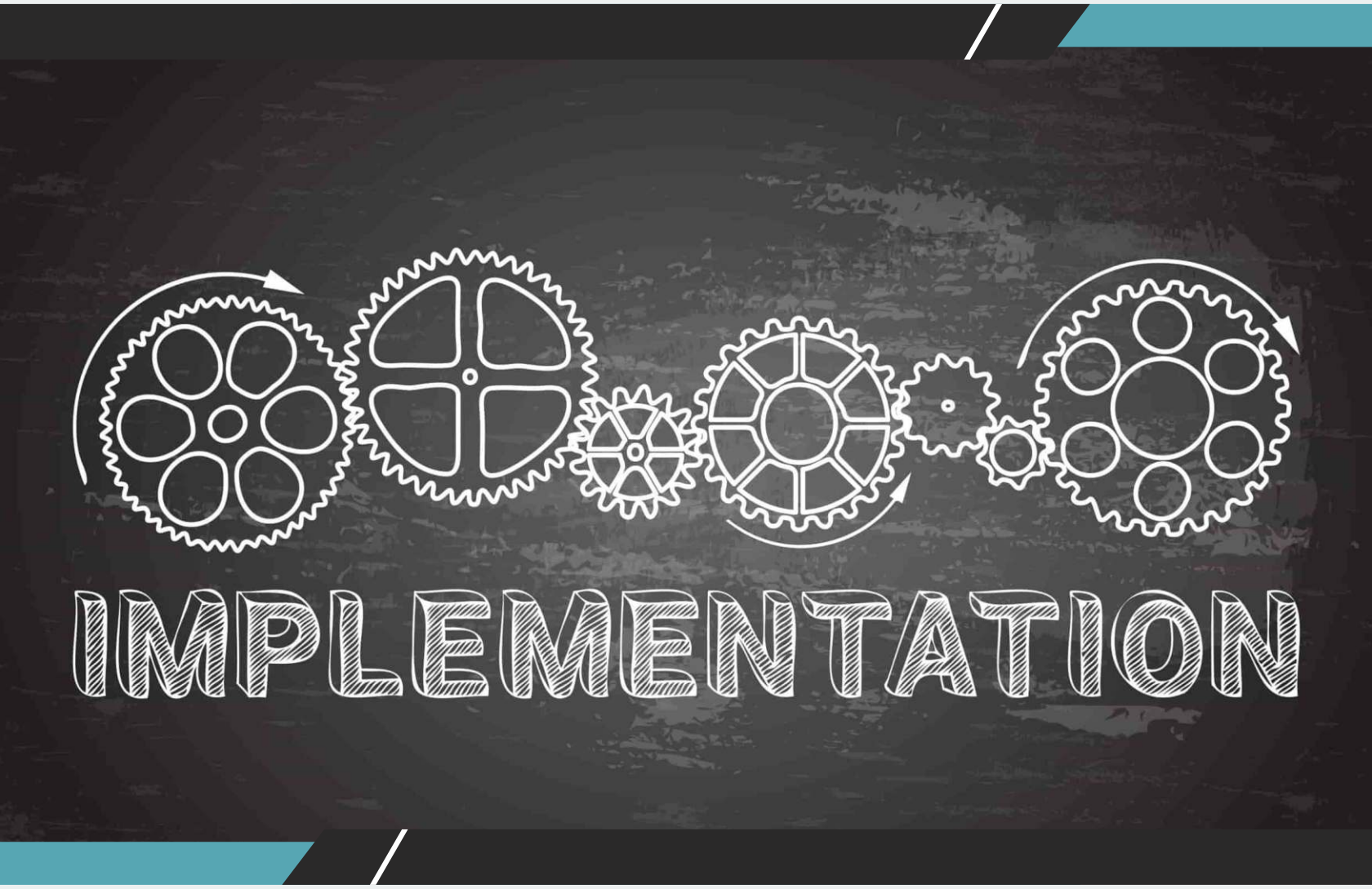

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CHAPTER 1

FINANCIAL POLICY AND CORPORATE STRATEGY

"Yesterday is gone. Tomorrow has not yet come. We have only today. Let us begin."

MOTHER TERESA



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SR. No.	CHAPTER CONTENT	PAGE No.	READ ①	UNDER-STAND ②	REVISE ③	STREN-GTHEN ④	EXPER-TISE ⑤
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2	Link between Financial Policy and Strategic Management	1-2					
3	Strategy at Different levels of Hierarchy	2					
4	Function of Strategic Financial Management	3					
5	Process of Strategic Decision Making	3					
6	Key decisions falling within the scope of Financial Strategy	4					
7	Concept of Financial Planning	4					
8	Explanation of "Starting point and ending point of an organisation in money"	5					
	Interface of Financial policy and Strategic management	5					
9	What makes an organisation sustainable and its specific steps	6					
10	Balance between Financial goals and sustainable growth	6					
11	What makes an organisation financially stable	7					
12	New Strategies Direction	7					

CHAPTER 2

RISK MANAGEMENT

"The More Difficult the Victory, the Greater Happiness in Winning..."

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2	Types of Financial Risk?	2					
3	How Financial Risk can be viewed from different viewpoint	3					
4	Counter Party Risk and the various techniques to manage this risk	3					
5	Parameters to identify the currency risk	4					
6	Political risk	4					
7	Interest Rate Risk	4					
8	Value at Risk and its application	5					
	Significance of VAR	5					
9	Features of VAR	5					
10	Application of VAR	5					
11	Practical Questions (Q.1 - Q.3)	6-8					

CHAPTER 3

SECURITY ANALYSIS

"Surround yourself with people who challenge you, teach you, and push you to be your best self." BILL GATES



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2	Various techniques used in Economic Analysis	1-2					
3	Factors affecting Industry analysis	2					
4	Various techniques used in Industry analysis	3					
5	Factors affecting in Company Analysis	3					
6	Techniques used in Company Analysis	3					
7	Technical Analysis	4					
8	Differences between Fundamental Analysis and Technical Analysis	4					
9	Evaluation and Principles of Technical Analysis	5					
10	Explain Dow Theory	5					
11	Timing of investment decision as per Dow Theory	5-6					
12	Elliot Wave theory	6-7					
13	Three forms of Efficient Market Hypothesis	7					
14	Concept of Efficient Market Theory and its major misconceptions	8					
15	Various challenges to Efficient Market Theory	8-9					
16	Random Walk Theory	9					

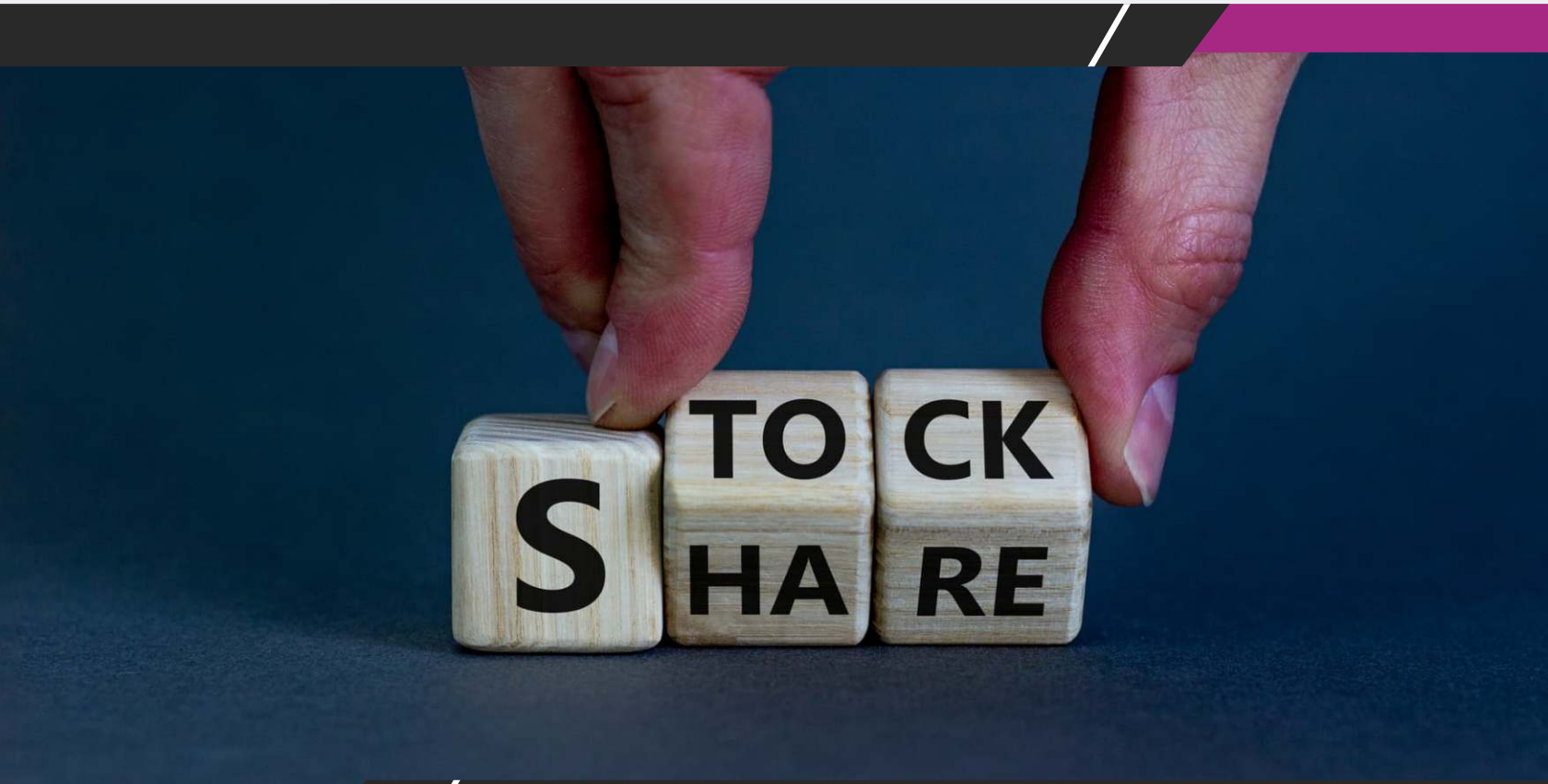
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19	Market Indicators	11-12					
20	Interpreting Price Pattern	12-14					
21	Practical Questions (Q.1- Q.4)	15-20					

CHAPTER 4

SECURITY VALUATION

" If People are not Laughing at your Goals, your Goals are too Small.."

Azim Premji



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SR. No.	CHAPTER CONTENT	PAGE No.	READ (1)	UNDER-STAND (2)	REVISE (3)	STREN-GTHEN (4)	EXPER-TISE (5)
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CHAPTER 5

PORTFOLIO MANAGEMENT

"Think Big, Think Fast, Think Ahead. Ideas are no one's monopoly."

Dhirubhai Ambani



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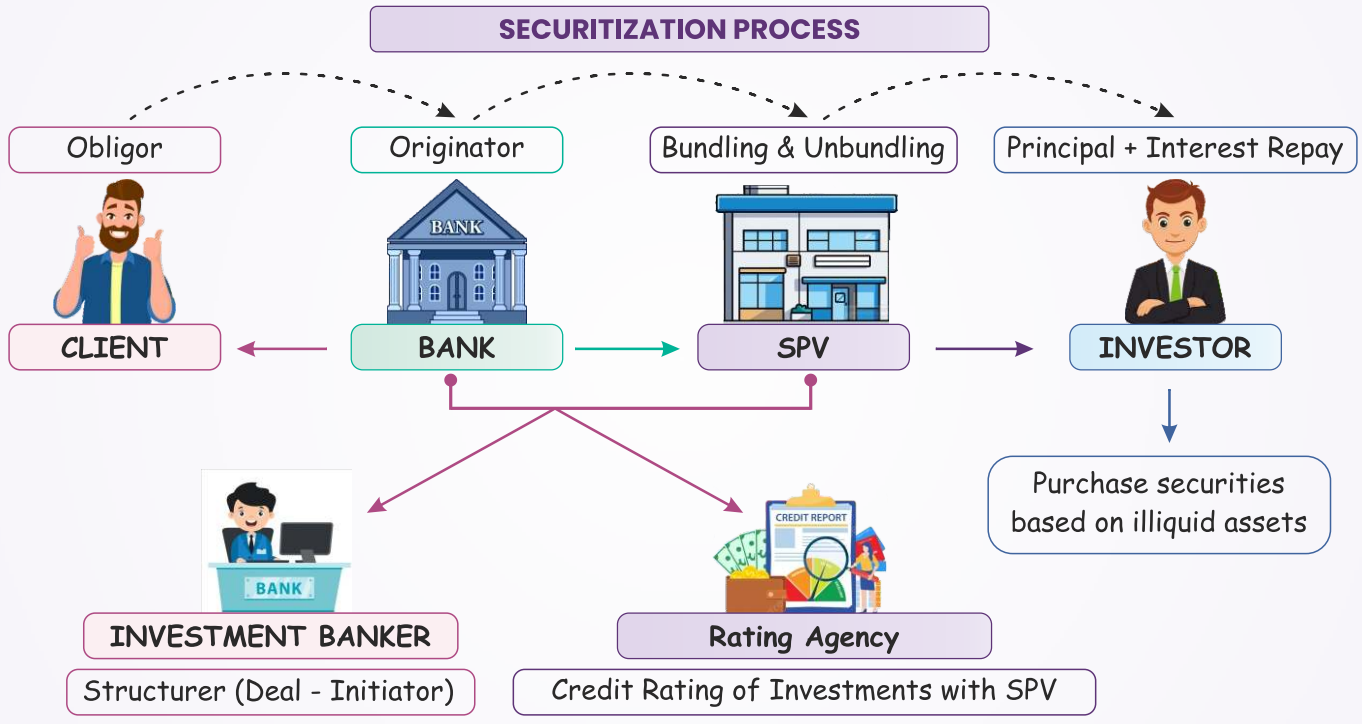
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CHAPTER 6

SECURITIZATION

"Take up one Idea. Make that one Idea your life, Dream of it, Think of it and Live on that Idea." SWAMI VIVEKANANDA





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CHAPTER 7

MUTUAL FUNDS

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STEVE JOBS



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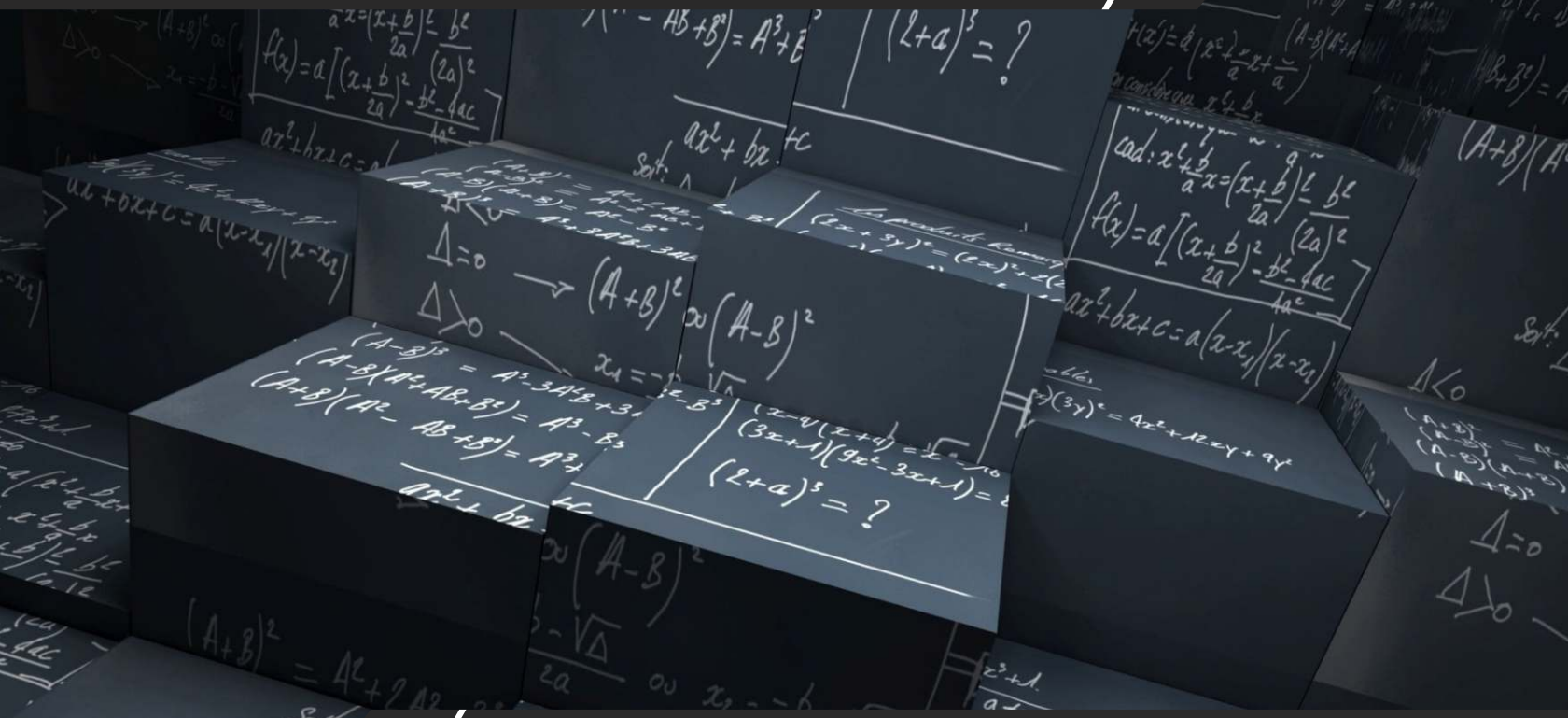
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CHAPTER 8

DERIVATIVES ANALYSIS AND VALUATION

The weak can never forgive. Forgiveness is the attribute of the strong.

MAHATMA GANDHI



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25	Computation of profit/loss (Q10)	21					
26	Computation of portfolio beta, theoretical value, & No. of contracts (Q11)	22-23					
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28	Computation of portfolio beta, theoretical value, & No. of contracts in different alternatives (Q13)	25-26					
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35	Calculation of expected share price, value of call option, & expected value of call option (Q18)	31					
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38	Computation of net payoffs to the option holder (Q20)	33-34					
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40	Computation of combination of share and option to be selected for perfect hedge, value of option today & expected rate of return (Q22)	35					
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42	Calculation of probability of price moving up and down (Q23)	39-40					
43	Valuation of call option under Risk Neutral method at given strike rate (Q24)	40					
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45	Computation of value of call option (Q25)	41-43					
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50	Computation of price of future contract and gain on short future position (Q27)	61-62					
51	Calculation of optimal hedge ratio, position to be taken in future market and determination of no. and amount to achieve perfect hedge (Q28)	62-63					
52	Advise on justified theoretical price and evaluation of arbitrage opportunity (Q29)	63					
53	Interpretation of opinion of CEO, calculation of systematic risk, value of risk free securities, No of shares to be disposed off & position to be taken in nifty futures (Q30)	63-64					
54	Justification on whether the offer from foreign branch to be accepted or not (Q31)	65-66					
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63	Calculation of viability of a project using foreign currency approach & impact of withholding tax (Q40)	74-75					
64	Calculation of mark to market cash flows and net profit/loss (Q41)	75-76					
65	Calculation of exchange rate quoted to the company, cash inflow and interest amount to be paid (Q42)	76-77					
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82	Calculation of next pay off to the option holder (Q61)	92-93					
83	Calculation of price of call (Q62)	93					
84	Calculation of price of call, share, put & value of put (Q63)	93-49					
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CHAPTER 9

FOREIGN EXCHANGE EXPOSURE AND RISK MANAGEMENT

"Constantly Think About How You Could Be Doing Things Better.. Keep Questioning Yourself." ELON MUSK



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29	Determining if arbitrage gain is possible or not (Q13)	24					
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36	Calculation of total commitment in rupees (Q18)	32-33					
37	Calculation of rate of discount quoted and probable loss of operating profit (Q19)	33					
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69	Calculation of implied swap points (Q47)	65-66					
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71	Calculation of net gain to the bank on the invested funds (Q49)	67-68					
72	Construction of swap to reduce the exchange rate risk (Q50)	69					
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CHAPTER 10

INTERNATIONAL FINANCIAL MANAGEMENT

"Respect, Recognition, and Reward flow out of Performance."

N. R. NARAYANA MURTHY



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15	Discount Factor & Risk Adjusted Discount Rate (RADR)	9					
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18	Computation of hedging using Cap Option (Q3)	12-14					
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23	Evaluating the nature of this swap arrangement and the net settlement (Q8)	22					
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CHAPTER 11

INTEREST RATE RISK MANAGEMENT

" If you want to walk fast, walk alone, If you want to walk far, walk together."

RATAN TATA



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2	Explain the terms relating to swap transactions	2					
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17	Evaluating the nature of this swap arrangement and the net settlement (Q8)	21-22					
18	Advising the position to be taken in future market to hedge interest rate risk (Q9)	22-23					

CHAPTER 12

BUSINESS VALUATION

"I really believe that entrepreneurship is about being able to face failure, manage failure and succeed after failing." KIRAN SHAW



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2	Elaboration of statement, "Relative valuation is the method to arrive at a relative value using a comparative analysis to its peers or similar enterprises"	1					
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